The Conversation (Gray & Draper, Adelaide University) · 28 October 2026

Why the EU trade deal is about far more than beef

> Australia and the EU agreed a free trade agreement in March after nearly eight years of talks, but the laws needed to bring it into force must still pass a divided Senate. Two trade economists argue that rejecting it would cost far more than the beef access farmers say is too small.

WHAT HAPPENED

- The FTA removes almost all bilateral tariffs, covering **98% of Australian goods exports**, and widens the export base while US tariffs are high.
- **Senate maths:** Labor holds 30 of 76 seats and needs 9 more. The Coalition (27 seats) is split: Nationals leaders oppose the deal over beef, lamb and dairy, but the Liberals contradicted them. The 10 Greens senators may drive a harder bargain.
- **Beef:** Australia's dedicated EU quota rises from 4,400 to 35,000 tonnes once phased in, and the 20% tariff goes from day one. Trade Minister Farrell says the industry wanted A$3 billion in new trade and got A$2 billion. The EU says there will be no renegotiation.
- **Critical minerals:** the EU wants no more than 65% of any strategic mineral from one country by 2030. European finance and buyers can support projects such as Arafura's Nolans rare earths project (A$84m from Germany's KfW, plus a supply deal with Siemens Gamesa).
- **Timing:** EU ratification needs 15 of 27 states representing 65% of the population, and elections are looming (Spain, then France and Italy). The authors argue it is this deal or none.

Key terms: free trade agreement · ratification · tariff-rate quota · offtake agreement · rules-based order

BY THE NUMBERS

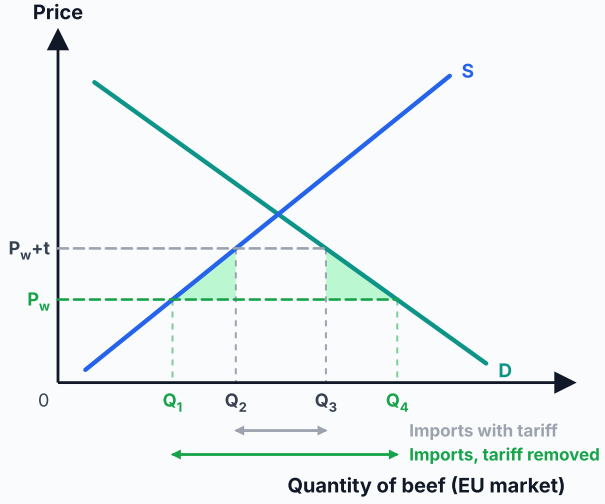
98%
Australian goods exports covered by tariff cuts

4,400 → 35,000 t
EU beef quota for Australia

20%
EU beef tariff scrapped from day one

~450m
Consumers in the EU market

DIAGRAM **Removing a tariff in the EU beef market (illustrative, not to scale)**



With the tariff, beef sells in the EU at P_w+t and imports are only Q_2–Q_3. Removing it lowers the price to P_w. EU consumers buy more (Q_4), local output falls to Q_1, and imports, including Australian beef, expand to **Q_1–Q_4**. The green triangles are deadweight losses that are removed.

In practice, Australian volumes are still capped by the quota.

Exam angle: the authors' wider argument is about **diversification**. Australia is wedged between a protectionist ally (the US) and a coercive customer (China, with its past restrictions on wine, barley and lobster), and the EU deal adds options in trade, investment and critical minerals.

SYLLABUS LINK

Topic 2 – Trade policy and trade agreements affecting Australia; the composition and direction of Australia's trade. Links to Topic 1 – protectionism and its effects.

TRY THIS

Evaluate the potential impacts of the Australia–EU free trade agreement on the Australian economy. **(5 marks)**

Nathan Howard Gray & Peter Draper, 'Failure to ratify the EU trade deal would cost Australia far more than beef', The Conversation, 28 Oct 2026 – https://theconversation.com/failure-to-ratify-the-eu-trade-deal-would-cost-australia-far-more-than-beef-294855